

Legal Counsel Update: June 25, 2026

10:00 a.m. – Board of Commissioners Conference Room

Attending: Commissioners Ron Smith, Colene Martin and Gary Richardson; Wally Hicks, Legal Counsel; Kassie Austin, Recorder

Legal Counsel Update

1. Declaration of Potential Conflicts of Interest

All commissioners present have reviewed the agenda, and it was determined that no conflicts are present.

2. Oregon Groundwater Rulemaking Process – Public Comment

Wally Hicks, Legal Counsel provided a follow-up regarding the Oregon Water Resources Department's proposed groundwater rulemaking and the pending public comment deadline. Hicks noted that additional information from the previous presenter had not yet been received but advised the Board that comments could still be submitted before the close of the comment period.

Commissioners reported that a draft comment letter had been prepared utilizing the information previously provided to the Board. The letter would be submitted by certified mail and electronically before the deadline. Staff also reported that information regarding the public comment opportunity had been posted on the County website to encourage public participation.

Commissioners discussed concerns regarding proposed groundwater regulations, including potential well metering requirements, impacts to private well owners, and the importance of protecting local water rights. The Board agreed that submitting comments opposing unnecessary regulation was appropriate and directed that the finalized letter be transmitted prior to the deadline.

3. Jail & Juvenile Levy

Legal Counsel reviewed the procedural requirements necessary to establish a county service district that could potentially provide a long-term funding mechanism for juvenile services. Discussion focused on statutory timelines, coordination required with the Cities of Grants Pass and Cave Junction, required public hearings, and the overall timeframe needed should the Board elect to pursue district formation.

Commissioners discussed the timing of initiating the process. Commissioner Richardson expressed support for beginning the preliminary legal work immediately in order to preserve future options while recognizing that creation of a district would not obligate the County to seek funding. Chair Smith expressed concern that initiating formal district formation before the upcoming Adult Jail and Juvenile Detention Levy election could create unnecessary public confusion and potentially affect voter support for the levy.

Following discussion, the Board reached consensus to authorize Legal Counsel to begin preparatory work associated with district formation, including discussions with affected jurisdictions and preparation of necessary documentation, while postponing formal action establishing the district until a later date. No formal action was taken.

4. Potential Formation of County Service District for Law Enforcement – Juvenile Delinquency Enforcement

Commissioners continued discussions regarding renewal of the existing Adult Jail and Juvenile Detention Levy. Community Justice Director Scott Hyde reviewed current funding allocations and explained that operating costs have increased substantially during the past ten years while levy revenues have remained unchanged. Hyde stated that under the proposed renewal approximately \$0.89 of the existing \$0.93 levy

would be required to operate the Adult Jail, leaving approximately \$0.04 available for juvenile detention services.

Director Hyde explained that Juvenile Justice has historically utilized multiple funding sources, including grant revenue, forestry funding, residential treatment revenue, and levy proceeds. Staff recently separated individual program costs to more accurately identify the actual operating expense associated with juvenile detention. Discussions occurred regarding projected operating costs, reserve funding, forestry reserve allocations, residential treatment revenue, detention facility operations, and long-term sustainability.

Commissioners discussed the County's responsibility to maintain juvenile detention services and emphasized the importance of preserving programs that provide early intervention, accountability, rehabilitation, and community safety. Hyde explained that the residential treatment program is expected to remain financially self-supporting while juvenile detention will require additional long-term funding beyond the current levy.

Commissioners also discussed future funding options, including potential levy adjustments, additional revenue opportunities, and development of a dedicated juvenile services funding source. Chair Smith expressed support for maintaining the current levy rate rather than requesting an increase, noting concerns that increasing taxes could jeopardize voter approval. Commissioner Richardson emphasized the importance of identifying stable long-term funding in order to improve employee retention and maintain critical County services.

Director Hyde encouraged Commissioners and members of the public to tour the Juvenile Justice facility and explained that Josephine County's program has become recognized statewide for its rehabilitative approach. Discussion highlighted the importance of educating the public regarding the facility's role in reducing juvenile crime, protecting the community, and providing services that reduce future criminal behavior. No formal action was taken.

5. Snell & Wilmer Invoice - Request to Increase Spending

Wally Hicks, Legal Counsel, presented a request to increase the spending authorization associated with Snell & Wilmer's representation of multiple Oregon counties participating in litigation involving surplus proceeds from tax foreclosed property sales. Hicks explained that Josephine County is one of several participating counties sharing litigation expenses through a joint defense agreement.

The Board expressed support for increasing the authorized expenditure limit to \$20,000 to allow Finance to continue processing litigation-related invoices as necessary. No objection was raised, and staff was directed to proceed.

Chair Ron Smith called for Executive Session at 10:55 a.m. Minutes filed separately.

Additional Attendees: Wally Hicks, County Legal Counsel, Helene Lulich, Real Property Manager, and Stephanie Watson, Paralegal.

6. Executive Session

- a. a. Novak vs. Smith and Josephine County; Circuit Court case no. 26CV06837 - ORS 192.660(2)(h)**
- b. County owned property located at Shadow Mtn. Way (R322627) – ORS 192.660(2)(e)**
- c. Surplus Proceeds from Sale of Tax Foreclosed Real Property – ORS 192.660(2)(h)**

- d. Gabbert, et al v. Josephine County; USDC 1:23-CV-01432 – ORS 192.660(2)(h)**
- e. Amendment #1 to the Subrecipient Agreement between Josephine County and Home Bridging for the 2024 Housing Repair and Rehabilitation Program – ORS 192.660(2)(f)**
- f. Community Development Block Grant (CDBG) Housing Rehabilitation Grant Contracts – H24007 & H25012 Update and Amendment #1 – ORS 192.660(2)(f)**

Executive Session Adjourned at 11:57 a.m.

Legal Counsel Update Continued

- 7. Novak vs. Smith and Josephine County; Circuit Court case no. 26CV06837**

The board directed staff to proceed.

- 8. County owned property located at Shadow Mtn. Way (R322627)**

The board directed staff to proceed.

- 9. Surplus Proceeds from Sale of Tax Foreclosed Real Property**

The board directed staff to proceed.

- 10. Amendment #1 to the Subrecipient Agreement between Josephine County and Home Bridging for the 2024 Housing Repair and Rehabilitation Program**

The board directed staff to proceed.

- 11. Community Development Block Grant (CDBG) Housing Rehabilitation Grant Contracts – 2024 & 2025 Update and Amendment #1**

The board directed staff to proceed.

- 12. Additional Subjects/Matters from Commissioners – ORS 192.640(1)**

None heard.

Meeting adjourned at 11:58 p.m.